Brazil Macro Monthly

Renewed fiscal concerns, while GDP surprises again

- US Treasury yields increased significantly over the past month, affecting global asset prices. Despite uncertainties remaining high, we continue to believe that the Fed will not hike rates further this year and will cut to 4.0% by 2024 yearend.
- In Brazil, GDP grew above market expectations in Q2, with a favorable breakdown. As a result, we raised our projections for economic growth in 2023 (from 2.2% to 2.8%) and 2024 (from 1.0% to 1.5%).
- We estimate a deficit of 0.9% and 0.7% for the public sector in 2023 and 2024, respectively. The 2024 budget brings great uncertainty regarding revenue measures, and we see the primary result target at risk of change.
- The BRL depreciation in recent weeks reflected both domestic and global factors. Nonetheless, our projections for the exchange rate remain unchanged at BRL/USD 4.70 for YE 2023 and BRL/USD 4.85 for YE 2024.
- The latest inflation readings surprised to the upside, but the breakdown remains benign. We kept our IPCA projections at 4.8% for 2023 and 3.9% for 2024.
- Given the GDP and IPCA figures above expectations, Copom should maintain the 50bps pace over the next meetings. Rising interest rates in the US and domestic fiscal uncertainty limit the room for cuts in 2024. We project the Selic rate at 11.75% in 2023YE and 10.00% in 2024YE.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.8	1.5
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	8.0	8.4
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.8	3.9
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	11.75	10.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.70	4.85
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.0	-1.0
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.8
Gross debt (% GDP)	74.3	86.9	78.3	72.9	75.6	78.8
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	80.5	75.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	360.3	365.5
Imports (USD Bn)	185.9	158.8	219.4	272.7	279.8	290.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-45.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-2.1	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	70.0	73.5
FDI (% GDP)	3.7	2.6	2.8	4.8	3.2	3.1
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.185	2.345
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.596	11.207

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Fiscal debate back in the spotlight in the US and Brazil

August was a turbulent month for asset prices due to the significant rise in US long-term bond yields. The main reason is fiscal uncertainty, amid high debt and growing public deficit since the pandemic.

The perspective of a populist electoral race in 2024 reduces the chance of adjustment measures to ensure the sustainability of public accounts. Thus, it seems unlikely that this risk will dissipate in the short term.

In Brazil, the fiscal debate also took center stage with the submission of the 2024 budget bill to Congress. Considering the elevated expense level established by government policies, the measures needed to increase revenue and balance the budget are as significant as they are uncertain. Especially those that require legislative approval.

Fiscal uncertainty and high interest rates abroad tend to keep medium-term inflation expectations above the target, limiting the space for rate cut reductions in 2024. For this reason, we have kept an above-consensus terminal Selic rate forecast.

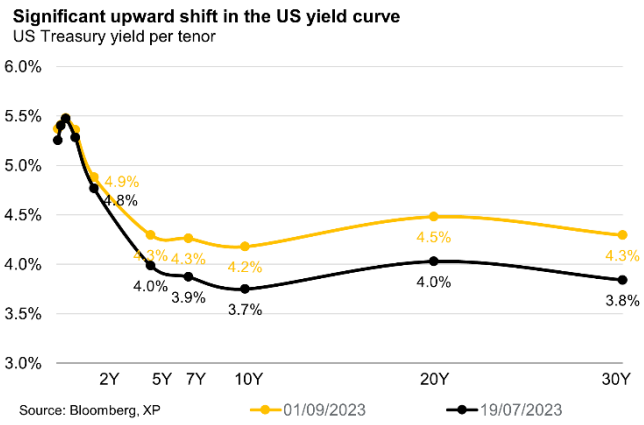
The easing cycle should continue at a pace of 50 bps per Copom meeting – not faster, given that inflation has been in line with expectations while GDP, once again, surprised on the upside.

Therefore, we revised our GDP growth forecast from 2.2% to 2.8% this year, and from 1.0% to 1.5% in 2024.

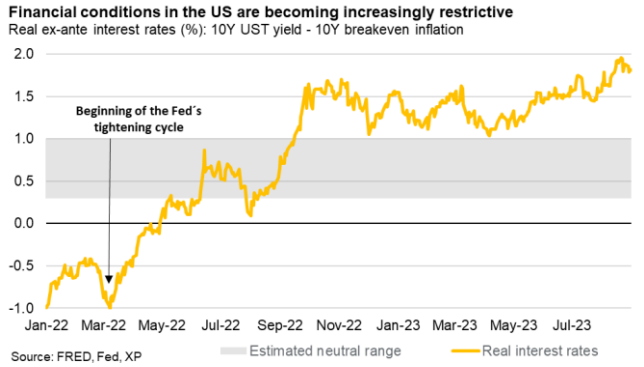
Global backdrop: higher US long-term rates hit asset prices.

Francisco Nobre

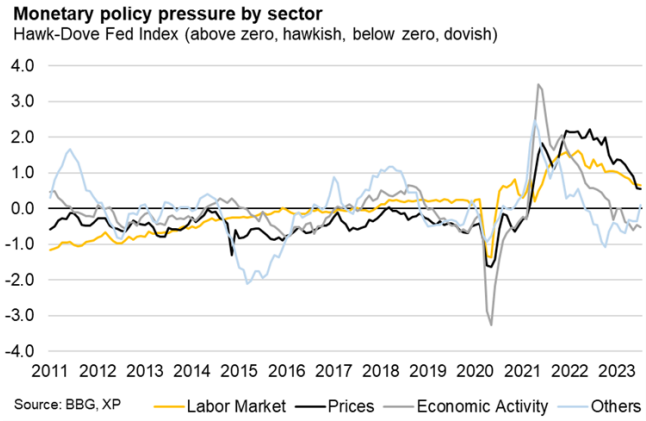
Aggressive upward shift in US rates. August was marked by a large increase in Treasury yields, especially those with long term maturities (graph). The increase can be attributed to (1) the more resilient than expected economic activity, (2) the possibility that the neutral interest rate will be higher going forward, and (3) concerns regarding the growing fiscal deficit in the US. The latter is likely the main reason, as the fiscal deficit this year is the highest in history when excluding periods of significant economic shocks, such as the 2008 financial crisis and the pandemic. An improvement is not expected anytime soon, especially because the electoral process is approaching and tends to be dominated by populist debates. In our view, treasury yields seem excessively high at current levels, although we agree that interest rates will likely be higher post pandemic.



We continue to see the Fed Funds rate at current levels until 24Q2. Despite uncertainties remaining high, we continue to believe that the Fed will not hike rates further this year. On the one hand, the Fed´s job is not done yet, given that inflation will end this year above the 2% target (likely at around 3.5%). Still, financial conditions are becoming increasingly restrictive and recent data show that the disinflation process has continued to advance, labor market conditions have started to soften, and the economy is decelerating (graph). Unless inflation picks up again, we see no need for further tightening.



We see a gradual easing in 2024. Market pricing has been volatile on the beginning and intensity of the easing cycle. We remain confident on our call that rate cuts will start on the third meeting of 2024, ending the year at 4.0%.



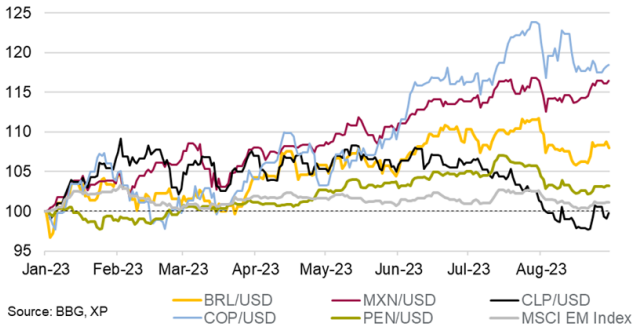
China's economy to grow at lower levels going forward. Economic activity did not pick up expected after the Covid-related reopening. The government has made fiscal and monetary stimulus more frequent in order to compensate for the recent weakness. These factors may support China's economy and counter the deflation issue, although the overall stimulus is likely not sufficiently proactive to materially boost aggregate demand amid an environment of weak consumer and investor confidence. The property sector and the external sector, which were the main drivers to China's growth over the past decades, may be approaching a steady state. Thus, growth drivers tend to shift towards consumption, and GDP will likely expand (considerably) below 5% per year.

LatAm currencies gave back a good portion of their positive performance from the first half of 2023. In the first half of

the year, exchange rates in most countries of the region appreciated against the USD and outperformed other emerging market currencies. Nevertheless, FX markets have had a negative performance over the past month in all countries of the region. The recent movement reflects (1) falling long term interest rate differentials with the United States, (2) weaker than expected performance of China´s economy, and (3) strengthening USD amid still elevated global risk aversion and renewed expectations of more resilient US growth outlook in the short-term. Going forward, these factors will likely continue influencing FX dynamics, although we believe that Latam currencies are once again in undervalued territory.

Higher commodity prices is good news for Latin America, although threatens global disinflation. Commodity prices remain volatile, although remaining elevated compared to pre-pandemic levels. The CRB all commodities index reached its highest level since June 2022, while Brent oil prices hit USD 88 per barrel, its highest level since November 2022. The recent trend adds risk to the global disinflation process, although it tends to benefit commodities exporters.

LatAm currencies gave back a good portion of their positive performance from the first half of 2023
Exchange rate index, January 2023=100



Source: BBG, XP

With Brent on the rise, oil prices increased again
Brent oil (USD per barrel)

Souce: BBG, XP

BRAZIL: Renewed fiscal concerns, while GDP surprises again

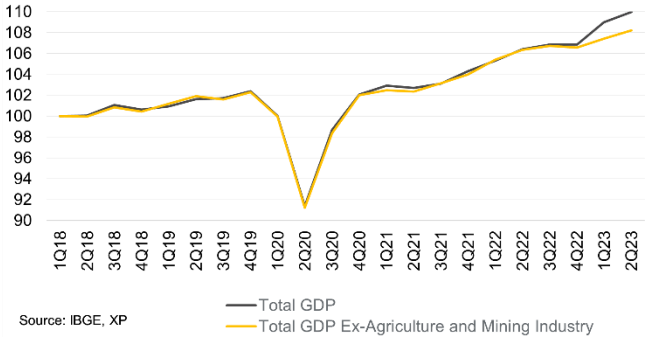
Economic Activity – We raised our projections for GDP growth in 2023 (2.8%) and 2024 (1.5%)

Rodolfo Margato

GDP grew above expectations in the 2nd quarter, with a 0.9% increase against Q1 2023, surpassing most estimations (XP: 0.5%; Street: 0.3%). The breakdown brought encouraging signs, as virtually all sectors grew in the period. Activities less sensitive to the economic cycle, such as Agriculture and Livestock, and Mining stood out. The services sector has also been sustaining the economy, as it presented the 12th consecutive quarter of growth.

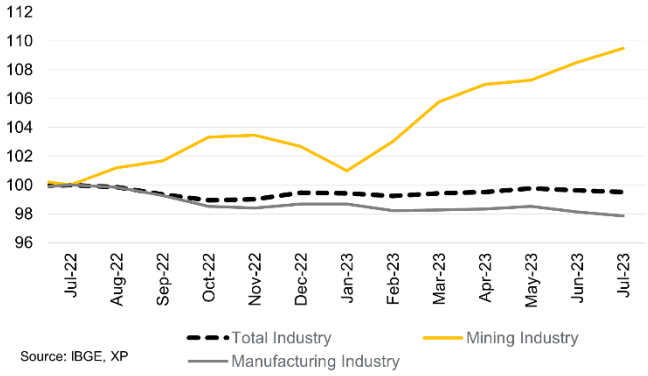
We have raised our projection for 2023 GDP from 2.2% to 2.8%. The upcoming quarterly GDP releases are expected to show weak results, largely due to the easing of the positive shock from agricultural output. We estimate a slight drop of 0.2% for GDP in the 3rd quarter compared to the previous quarter (an increase of 1.9% YoY). Nevertheless, the strong performance in the first half of the year – coupled with favorable indicators – should ensure an annual growth rate close to what was observed in 2022.

Agriculture and Mining Industry contributed significantly to total GDP growth in the first half of 2023
Seasonally adjusted data series. 1Q18=100



Source: IBGE, XP

Mining industry has grown sharply in the recent period
Seasonally adjusted data series. 3MMA. Jul-22=100

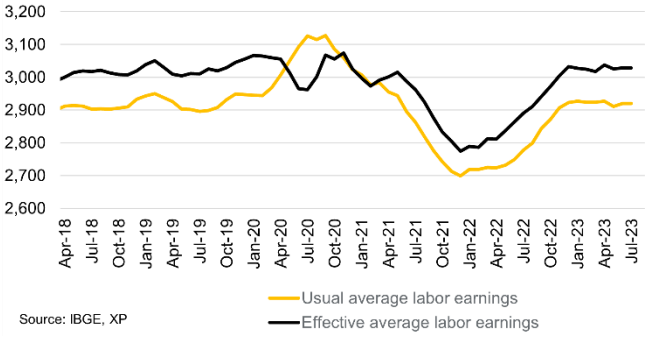


Source: IBGE, XP

Recent activity data, such as employment and income, reinforce a "soft landing" scenario. The unemployment rate remains below 8%, in line with the increase in the employed population (though slowing down) and the labor force participation rate stands well below pre-pandemic levels. However, we have not seen significant wage pressures. According to the National Household Sample Survey (PNAD Contínua, in Portuguese), real average labor earnings remained nearly stable between December 2022 and July 2023. From our perspective, the recent dynamics of the labor market combined with massive fiscal stimulus support the outlook for a smooth slowdown in domestic demand, particularly the resilience of consumption. We anticipate that real household disposable income will grow by around 4.5% this year, including a 25% increase in social protection transfers.

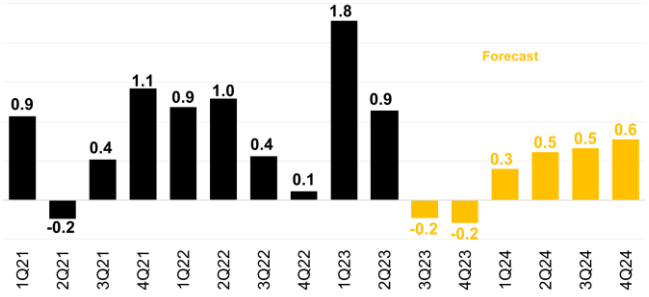
For 2024 GDP growth, our projection rose from 1% to 1.5%. The signs of strength in Services GDP are behind our bullish revision for the 2024 GDP. That said, we have maintained the scenario of more moderate economic growth compared to the current year. Among other factors, we highlight: (i) the smaller contribution from sectors less sensitive to economic policy – we calculate that Agriculture & Livestock and Mining Industry, together, will account for 1.2pp of the projected 2.8% increase in total GDP this year, well above the estimated impact for the following year; (ii) reduced fiscal stimulus; (iii) labor market stabilization; (iv) a slowdown in global activity, especially in developed economies; and (v) null statistical carry-over effect from 2023 GDP. Furthermore, the improvement in credit conditions is expected to be gradual, as monetary policy remains in a contractionary stance (as discussed in the last section of this report).

Real labor earnings have been virtually flat since the end of last year
BRL/month (at constant values of Jul-23)



Source: IBGE, XP

We expect domestic activity to weaken this semester and gradually recover throughout 2024
% QoQsa



Source: IBGE, XP

GDP — XP Forecasts (%)

	Weight	2022	2023 (prior)	2023 (current)	2024 (prior)	2024 (current)
Agriculture & Livestock	6.8	-1.7	11.0	13.5	1.5	1.7
Total Industry	20.7	1.6	1.1	1.4	0.6	0.9
Total Services	58.9	4.2	1.7	2.2	1.2	1.8
Net Indirect Taxes	13.6	2.1	2.0	2.5	1.1	1.3
Total GDP	**100**	**2.9**	2.2	**2.8**	1	**1.5**
Household Consumption	63.1	4.3	2.4	2.7	1.1	1.4
Government Consumption	18.0	1.5	1.5	1.9	0.9	1.0
Gross Fixed Capital Formation	18.1	0.9	-2.7	-2.0	0.7	1.2
Exports	20.0	5.5	5.6	6.4	1.6	2.0
Imports (-)	19.3	0.8	1.0	1.2	1.0	1.3

Source: IBGE, XP

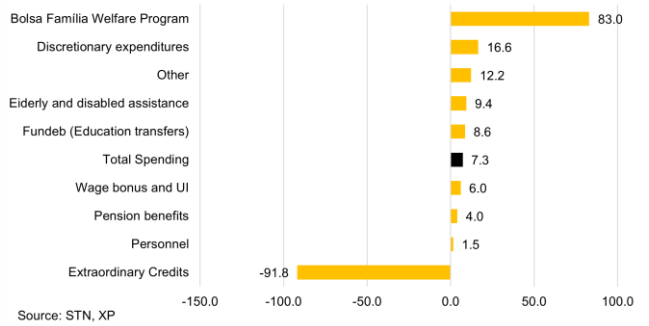
Public finance – Discussion on the primary balance target should continue

Tiago Sbardelotto

Primary deficit inched up in July. The public sector registered a BRL 35.8 billion deficit in July, much lower than the BRL 20.4 billion surplus posted in the same month of the previous year. July´s result is explained by the combination of a loss in revenue collection - particularly non-tax revenues such as concessions and dividends, but also corporate income taxes (IRPJ/CSLL) - and increased spending with social security, social assistance, and the Bolsa Família welfare program.

We raised our Central Government's primary deficit estimate in 2023 from BRL 108.5 billion (1.0% of GDP) to BRL 110.6 billion (1.0% of GDP). On the one hand, the

Spending to grow much above inflation in 2023
Change in real terms, as %



Source: STN, XP

change reflects the fall in the estimated revenue measures this year, particularly the exclusion of ICMS from the PIS/Cofins tax base (which has been fairing much lower than expected) and the reduction of IRPJ/CSLL revenues. This effect is partially offset by gains in social security revenues and reductions in estimates of some expenses, such as personnel, Bolsa Família, and discretionary expenses.

The forecast for 2024 improved marginally. We expected a deficit of BRL 107.8 (-1.0%) for the Central government. However, due to the stronger GDP growth expected for the year, we now estimate BRL 99.8 billion (0.9% of GDP). We did not account for a significant part of the measures included in the budget sent to Congress – given expected political resistance and high uncertainty about potential revenue collection.

The expected consolidated public sector (including states, municipalities, and state-owned companies) worsened slightly for 2023. We now project a deficit of BRL 96.3 billion, or 0.9% of GDP (from BRL 92.6 billion previously). In addition to the worsening of central government's result mentioned above, we also reduced the projected results for states and municipalities, which have presented worse than expected performance so far this year. **For 2024, we adjusted our deficit projection from BRL 83.8 billion (0.7% of GDP) to BRL 80.8 billion (0.7% of GDP),** mainly due to a lower deficit expected from the central government.

Higher GDP, (slightly) lower debt. The improvement in the GDP forecast (see the economic activity section) led us to reduce the projection for general government's gross debt (GGGD) to 75.2% of GDP in 2023 (75.6% before) and 78.1% in 2024 (78.8% before). Despite the short-term improvement short term, public debt is expected to continue growing in the coming years – on the back of recurring primary deficits forecasted ahead.

The 2024 budget remains "up in the air". The discussion of the 2024 budget signaled that achieving the primary target is unlikely. A significant part of the measures presented by the government requires Congress approval, most of which will face political resistance or are expected to underperform. We also note around BRL 44.4 billion projected for concessions revenues, a volume much higher than the historical average (see table).

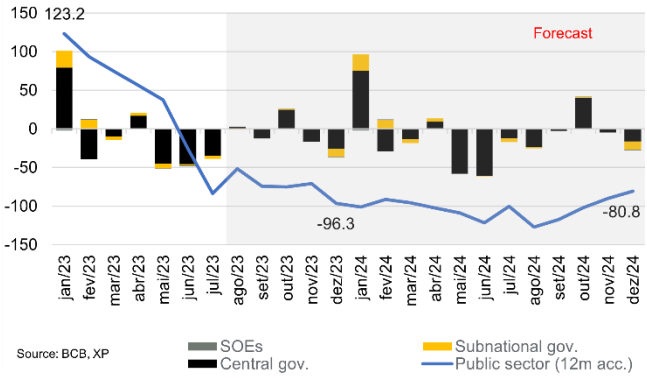
To change or not to change the target? Given this scenario, the government will be faced with two options: 1) try to meet the target, which will likely entail a mandatory spending freeze (around BRL 54 billion, as per our estimates), reaching as close as possible to the zero result, but compromising the budget execution and still having to cut expenses in 2025 and 2026; or 2) change the target. In

Measures included in 2024 budget — BRL billion

Measure	Gov. Estimates	XP scenario
ICMS subsides for investments	35.3	32.1
Online betting	1.6	2.0
Simplified regime on imports	2.9	2.0
Exclusive funds taxation	13.3	9.3
Taxation of investiments abroad	7.0	7.0
End interest on equity deduction	10.4	0.0
Tax credits recovery on CARF	97.9	30.0
Total	**168.5**	**82.5**

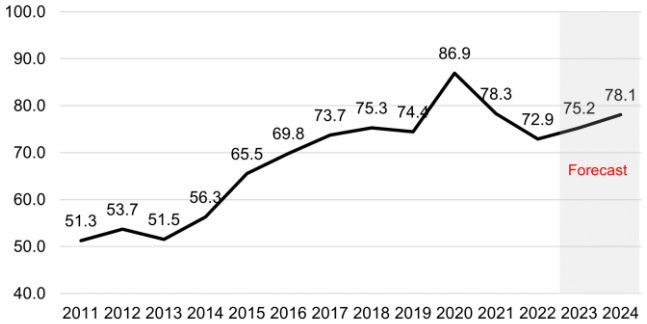
Source: PLOA 2024, XP. Gross revenues

Public sector to record deficits in the coming months
Primary balance (BRL billion)



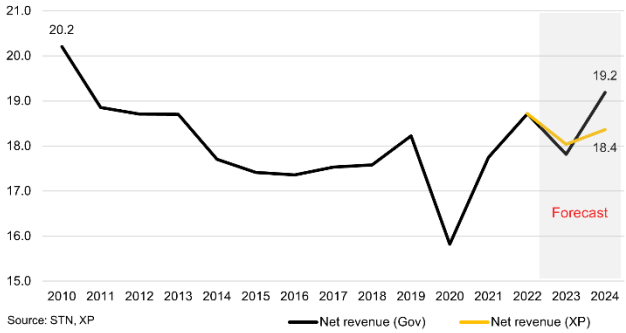
Source: BCB, XP

Public debt slightly better, but still on an upward trajectory
General Government Gross Debt (% of GDP)



Source: BCB, XP

Estimated revenue in the 2024 budget is the second highest in the historical series
Net revenue as % of GDP



Source: STN, XP

our view, the ideal scenario would be to pursue the target, even if it is not possible to achieve it, which would strengthen the new fiscal framework as an adjustment mechanism over time. However, we believe that this discussion will resurface in the coming months – by when we understand there's a strong likelihood that the government will change the target, if the revenue boosting measures are not approved.

External Accounts – Exchange rate projection remains at BRL/USD 4.70 for 2023, despite high volatility

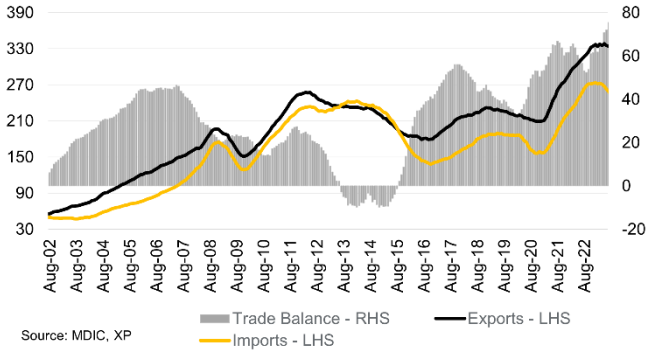
Rodolfo Margato

The BRL depreciation in recent weeks has reflected both domestic and global factors. The Brazilian exchange rate rose from approximately BRL/USD 4.75 in early August to BRL/USD 4.95 in early September. In our view, this movement reflects increased risk perception, both abroad and in Brazil. On the international front, we highlight rising interest rates in the United States – particularly in longer-term treasuries – and growing concerns about Chinese economic growth. On the domestic front, increasing fiscal uncertainty rose again to the forefront, stemming from 2024 budget discussions (as detailed above).

We maintained our exchange rate projections at BRL/USD 4.70 for YE 2023 and BRL/USD 4.85 for YE 2024. We believe some of the recent global risks should ease over the coming months, leading the Brazilian currency to appreciate. Our econometric modeling suggests that the "fair value" for the Brazilian FX – in line with economic fundamentals – lies between BRL/USD 4.50 and BRL/USD 4.90.

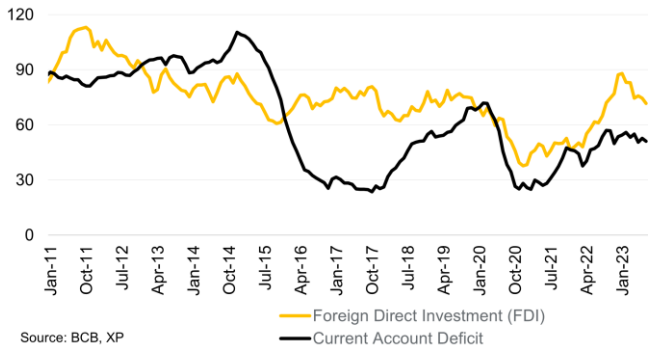
Balance of payments remains robust despite net FDI inflows (Foreign Direct Investment) below expectations. The trade balance will likely post a record surplus this year, both due to the increase in export quantum (mainly primary goods) and the decline in imports prices. Accordingly, we project a current account deficit of USD 45.0 billion at the end of this year (-2.1% of GDP) - considerably below the historical average (around -3.0% of GDP). Meanwhile, net FDI inflows have been disappointing in recent months, reflecting lower corporate profitability compared to 2022. Therefore, we have lifted our estimate for FDI in 2023, from USD 75.0 billion (3.4% of GDP) to USD 70.0 billion (3.2% of GDP). Our forecasts for 2024 remained unchanged: current account balance of -USD 48.0 billion (-2.0% of GDP) and FDI totaling USD 73.5 billion (3.1% of GDP).

Trade balance remains at all-time highs, boosted by exports of primary goods
12-month acc. (USD billion)



Source: MDIC, XP

Balance of payments remains robust, with Foreign Direct Investment well above the current account deficit
12-month acc. (USD billion)



Source: BCB, XP

Inflation – Under the volatile surface, short-term inflation continues to show benign dynamics

Alexandre Maluf

IPCA readings came in above expectations, but the breakdown remains positive. Both the July IPCA and mid-month August IPCA (IPCA-15) advanced above market expectations. However, the underlying metrics, which exclude volatile items or sharp fluctuations, continue to show a gradual disinflation trend. For instance, the 3M SAAR of core inflation in the IPCA-15 decreased to 3.2% from 3.4%. Meanwhile, the subcategory of Underlying Services, closely monitored by the Central Bank, cooled down to 4.7% from 5.0%.

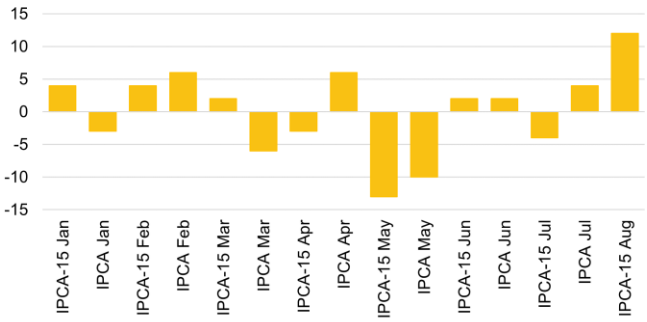
Wholesale inflation continues to present negative prints. The latest IGP-M came in below expectations, declining by -0.14% MoM. For the seventh consecutive month, industrial PPI registered a negative variation, which will help CPI disinflation over the coming months. The agricultural PPI also remains negative on a yearly basis, consistent with our projection of deflation in household food prices in 2023, which has not happened since 2017.

How long will cost deflation last? In our scenario, we consider that a significant part of the global foodstuff and industrialized goods deflation has already been passed on to consumer prices over the last few months. Grain prices are expected to stabilize around their current level, while industrial goods should be affected by higher oil prices, at approximately USD 90 per barrel. Additionally, with pressures from rising interest rates in the US, the exchange rate has not been a short-term disinflationary factor, although our scenario still considers an appreciation of Brazilian currency to BRL 4.70 by the end of 2023 (as described above). Therefore, despite the recent downward contribution from PPIs, we do not believe that this dynamic could prompt further disinflation.

GDP revisions are not expected to hinder the ongoing disinflation... In this report, we have revised our expectations for the Brazilian economic growth upwards for 2023 and 2024, as discussed in the previous sections. Nevertheless, we do not see stronger economic activity as an obstacle to the current disinflation process. Sectors that have recently shown more robust growth – mainly agriculture, livestock, and mining – are less sensitive to the economic cycle. Furthermore, the latest employment data continue to show that wage dynamics are not a concern in terms of inflation pressures.

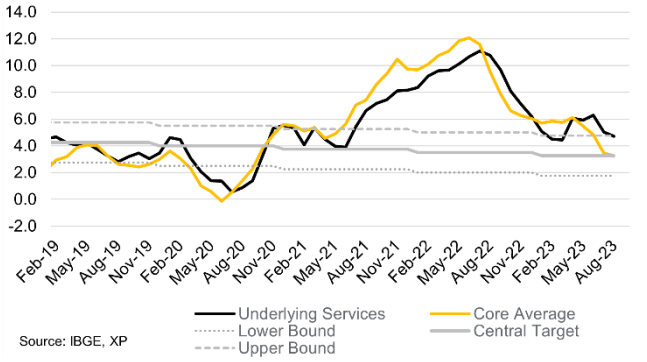
Therefore, we maintain our projection of 4.8% for the 2023 IPCA and 3.9% for 2024. We recognize that the fiscal risk tends to keep medium-term expectations above the target

Volatile items explain upside surprise to inflation...
(Difference between actual data and Bloomberg expectations, bps)



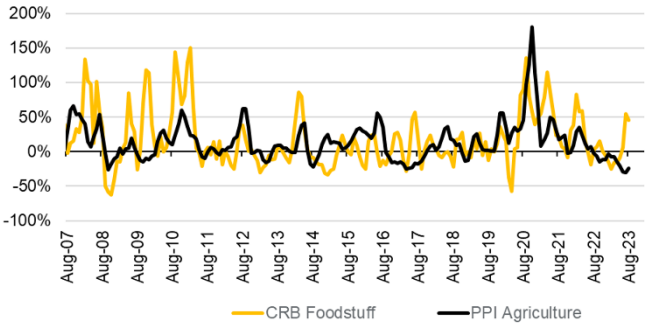
Source: Bloomberg, IBGE, XP

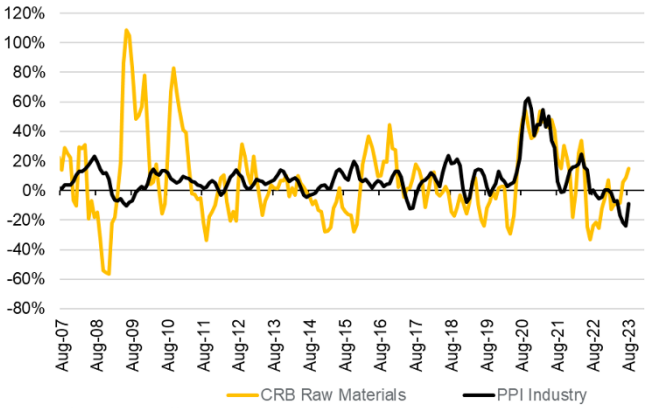
...but underlying services and core average remain on well-behaved trajectories
(IPCA-15, var. % SAAR 3M)



Source: IBGE, XP

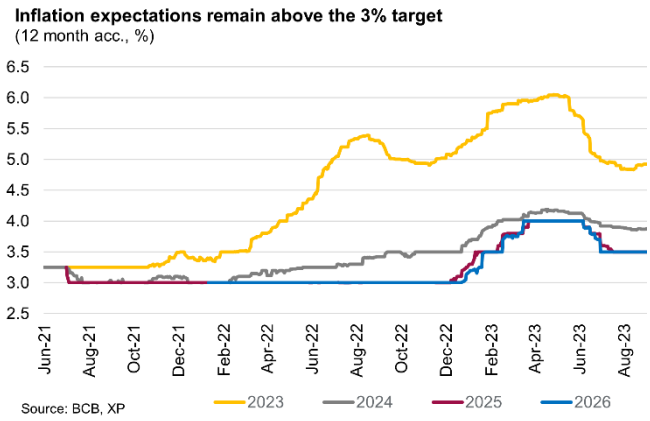
PPIs starts reverting the positive trend from international commodity prices
(SAAR 3M)





Source: Bloomberg, FGV, XP

in the upcoming months. Effectively, the Focus Report has been showing unanchored expectations for 2025 and 2026 IPCA, which remain at around 3.50% - a movement largely explained by market's distrust in the trajectory of the Brazilian public debt.



Monetary Policy – Open Road this year

Caio Megale

The global effort to reduce inflation is paying off. The normalization of global supply chains led to significant producer price deflation. Decisive actions by central banks complement the process, ensuring that disinflation reaches consumer prices.

In this sense, the degree of monetary tightness in Brazil can be (significantly) lower going forward. We see room for a reduction of at least 3pp in the Selic rate, implemented gradually over the coming months.

The 50-pbs pace seems the safest way to ensure sustainable lower interest rates ahead. Inflation projections remain above the target for 2024 and 2025, and economic activity slowed down only gradually. In fact, growth forecasts have been revised upwards (including ours), and the unemployment rate remains at the lowest level since 2015. Thus, there seems to be no rush for a front-loaded monetary easing.

In any event, given there is confidence in the space for easing, the Copom may eventually opt for two cuts of 75 bps, rather than three 50-bps moves. For that to happen, we understand that inflation data must surprise to the downside in the coming months. This is not our base case scenario, but it could happen, given the effect of global cost deflation.

Expansionary fiscal policy at home and higher interest rates abroad are risks for 2024. We continue to see expansionary fiscal policy as a constraint for more intense monetary easing. Historically, public debt on an upward trend tends to pressure inflation expectations. In addition, the world discusses the risk of interest rates in developed countries being higher in the long term. This also tends to limit the scope for rate cuts in Brazil.

We keep our Selic rate forecast at 11.75% for 2023 yearend and 10.00% in 2024.

XP Forecasts	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.8	1.5
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	8.0	8.4
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.8	3.9
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	11.75	10.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.70	4.85
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.0	-1.0
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-0.9	-0.8
Gross debt (% GDP)	74.3	86.9	78.3	72.9	75.6	78.8
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	80.5	75.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	360.3	365.5
Imports (USD Bn)	185.9	158.8	219.4	272.7	279.8	290.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-45.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-2.1	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	70.0	73.5
FDI (% GDP)	3.7	2.6	2.8	4.8	3.2	3.1
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.185	2.345
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.596	11.207

Source: IBGE, BCB, Bloomberg, XP.

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